

What Is Estate Planning?

In your twenties and thirties estate planning may seem like a low priority, but don't believe the misconception that it's only for the elderly or the wealthy. Tragedy can strike at any age. Planning for the unexpected is best done today, especially if you have a family.

Estate-planning attorneys refer to their craft as managing your "social capital." If you (or your parents) pass away with too much in assets, a portion of your estate will be heavily taxed. The government will use those funds to pay for its foreign and domestic programs, not to mention its humongous national debt. Because your money goes to society, you can call it social capital. However, you may have your own programs that you'd like to support.

Am I Too Young for Estate Planning?

If you own anything, are married, or have kids, for example, you need a will to disclose how you would like your property to be left if you become incapacitated or die. If you have minor children, you would also need to leave your property in trust for their care, and name both a trustee over the property and a guardian to physically care for the children. A durable power of attorney for health care, a living will, and durable power of attorney for finances are important to ensure that your wishes are carried out if you become incapacitated by accident or illness and are unable to make your own health care and financial decisions.

Reviewing Your Plans

Regardless of how simple your estate plan is at this point in your life, review it whenever significant events take place. If you marry, divorce, remarry, or have a child, you may want to make changes to your will. If you move to another state, make sure your will complies with the laws in that state and is still valid. If the value of your assets changes significantly, you may want to review the terms of your will and decide if any changes are in